

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.
(Respondents)

**RESPONSE TO MARCUS A. NUSSBAUM ESQ.'S FRIVOLOUS CROSS-MOTION AND
OUTLINE OF HIS HISTORY OF VEXATIOUS PRACTICE**

Respondents respectfully submit this Response to attorney Marcus A. Nussbaum Esq.'s frivolous cross-motion "for an order to show cause as to why the Commission should not suspend Eric Chang, Esq. and Stephen H. Vengrow, Esq. from practicing before the Commission." Mr. Nussbaum again claims that he "did not attend law school and become a member of the bar for the purpose of taking away another attorney's livelihood ... [but] has been compelled to cast aside personal beliefs in favor of 'doing what is right.'" If this hollow claim sounds familiar, it is because Mr. Nussbaum made the same claim, *verbatim*, when he previously tried to have this Commission suspend another one of Mr. Nussbaum's adversaries.¹ To Mr. Nussbaum, "doing what is right" is accusing every attorney opposing him in FMC proceedings

¹ See, Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Doc. No. 114 (Mr. Nussbaum's Cross-Motion For An Order to Show Cause Why the Commission Should Not Suspend [opposing counsel].)

of fraud² and with vexatious practice³ which has necessitated numerous counsel (who have had the misfortune of dealing with Mr. Nussbaum) to seek sanctions against him, though Mr. Nussbaum has to date managed to escape sanctions.⁴ Unfortunately, the present cross-motion is the latest tool in Mr. Nussbaum's arsenal when things are not going his way and cannot be separated from Nussbaum's history of vexatious practice.

² Baltic Auto Shipping, Inc. v. Michael Hitrinov, FMC Docket No. 14-16, Doc. No. 102 (Mr. Nussbaum accused the respondents and their counsel of attempting to "perpetrate a fraud upon the Commission"); Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Document No. 173, Complainants' May 3, 2017 "Exceptions" at p. 47 (Mr. Nussbaum accused respondents and their counsel of committing "a fraud upon this Commission").

³ Empire United Lines Co., Inc. v. Baltic Auto Shipping, et al., U.S.D.C..E.D.N.Y., 15-cv-557 (DLI)(SJB), August 30, 2016 Order (Chief Judge Irizarry reprimanded Mr. Nussbaum for filing a frivolous motion for sanctions and cautioned that he may find himself facing sanctions if he continues to make frivolous and vexatious motions for sanctions); UAB Pamario Davas, et al. v. DKP Wood Railings & Stairs, Inc., et al., U.S.D.C..D.N.J. 14-cv-4495 (KSH)(CLW), Dkt. No. 154-1, Transcript of Teleconference before the Honorable Cathy L. Waldor, United States Magistrate Judge, at pp. 4, 6 (chastising Mr. Nussbaum for "playing fast and loose and a little too cute" and being "not exactly truthful" and directing "Mr. Nussbaum, stop the personal attacks. I thought that was a terrible way to begin a letter").

⁴ See, e.g., allegations in Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Doc. No. 112, Motion of Respondents' Counsel, at pp. 3-4 (describing Mr. Nussbaum's creation of and use of falsified computer documents); UAB Pamario Davas, et al. v. DKP Wood Railings & Stairs, Inc., et al., U.S.D.C..D.N.J. 14-cv-4495 (KSH)(CLW), Dkt. No. 131 (Motion for Discovery and Sanctions against Mr. Nussbaum; with a subsequent Order entered by the Court preserving all motions for sanctions); MAVL Capital, Inc. v. Marine Transport Logistics, Inc., U.S.D.C. E.D.N.Y. 13-cv-7110 (PKC)(RLM), Dkt. No. 55 (motion for sanctions pursuant to Rule 11 filed by the undersigned against Mr. Nussbaum); T&A Universal, Inc. v. Yelena Dmitriyeva and Anna Sultana, Supreme Court of New York, Kings County, Index No. 501800/2015, Dkt. No. 99 (Motion to Compel Compliance and For Sanctions against Mr. Nussbaum; Mr. Nussbaum subsequently withdrew as counsel citing a medical condition); see also Glob. Auto, Inc. v. Hitrinov, 2015 WL 5793383, at *4 (E.D.N.Y. Sept. 30, 2015) ("On the same day Judge Reyes issued his order, however, [Mr. Nussbaum] and Greenberg moved to withdraw as well. EUL did not oppose that motion, although EUL's counsel wrote a lengthy letter dated March 2, 2015, which discussed developments in Akishev and speculated that Nussbaum and Greenberg were attempting to avoid sanctions."); see also Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Doc. No. 72 (motion to intervene by Mr. Nussbaum's former client and describing Mr. Nussbaum's role in creating falsified documents.)

I. MR. NUSSBAUM'S EXAMPLES OF "PROVEN" FRAUD ARE ACTUALLY DISPUTED FACTS WHICH, IN ANY EVENT, WOULD NOT BE RELEVANT OR MATERIAL TO THIS PROCEEDING.

As an initial matter, Mr. Nussbaum's allegation of "proven" fraud refers to facts which are *disputed* and/or which are not material or relevant to the present proceeding. Despite Mr. Nussbaum's continued inability to distinguish between what is relevant and what is not, **questions of fact involving a Mercedes and Porsche are *not a part of this proceeding*.** See, March 6, 2017 Memorandum Opinion and Order, Doc. 44, FN2 ("Complainants state that there are also pending claims in this action based on the storage and transport of two automobiles (a Porsche and a Mercedes), but that is not accurate ... there are no claims involving automobiles in this action.") In this regard, Mr. Nussbaum's allegations of fraud by Respondents or their counsel consists of: (A) Complainants' self-serving testimony, given to benefit another of Mr. Nussbaum's clients, disputing the purchase of the Mercedes and Porsche; (B) a disputed "Bill of Sale" which was not relied upon by the ALJ in the Initial Decision nor material to any Shipping Act claim; and (C) an issue concerning Respondent Solovyev's role in a *non-party*.

A. The sale of the Mercedes and Porsche is a disputed issue that is still being litigated by Mr. Nussbaum on behalf of his clients in other forums.

The first allegedly "proven" fraud propounded by Mr. Nussbaum consists of self-serving testimony from his client, Complainant Safonov, denying that Middle East Asia Alfa purchased a Mercedes and Porsche. Mr. Nussbaum claims that, "unbeknownst to Complainants herein, the Mercedes and Porsche are subject of two more legal actions..." See, cross-motion at p. 3. This claim by Mr. Nussbaum is especially disingenuous because Mr. Nussbaum is counsel for MAVL Capital, Inc., and Mr. Nussbaum *represents the claimants* in those "two more legal actions." MAVL Capital, Inc. v. Marine Transport Logistics, Inc. and Dimitry Alper, FMC Docket No. 16-16; MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al., U.S.D.C. E.D.N.Y. 13—

cv-7110(PKC)(RLM). Complainants were, thus, well-aware of the other legal actions, because Mr. Nussbaum himself informed Complainants of those actions. *See*, March 6, 2017 Memorandum Opinion and Order, p. 10 (“Complainants state that the pertinent information was relayed to their then attorney on April 13, 2016 by Mr. Nussbaum.”) This point was not addressed, or perhaps deliberately omitted, by Mr. Nussbaum. In other words, Complainant’s self-serving testimony is being propounded to benefit himself and *another of Mr. Nussbaum’s clients*. Furthermore, although one of Mr. Nussbaum’s clients may be said to dispute the fact, the issue remains unresolved.

Mr. Nussbaum’s concurrent allegation of documents being altered is an illogical leap of fantasy. As represented by Mr. Nussbaum, non-party Mr. Alper allegedly testified only that he “did not recognize the handwriting” on a bank statement.⁵ This does not “prove” that the bank statement was altered, particularly when Mr. Nussbaum has not offered any argument or reason for Mr. Alper to recognize the handwriting in the first instance. More importantly, a handwritten explanatory note on an electronic bank statement is obviously not an attempt to alter the bank statement. *Compare with*, Complainants Petition to Reopen Proceedings, Doc. No. 50 (Mr. Nussbaum made the similarly ridiculous claim that a handwritten notation of “Chaparral Boat” underneath an electronic bank check printout was an attempt to “alter” the check); *contrast with*, Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Doc. No. 112, Motion of Respondents’ Counsel, at pp. 3-4 (“Mr. Kapustin [Mr. Nussbaum’s former client] has stated

⁵ The undersigned counsel represents Mr. Alper in the matter of MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al., U.S.D.C. E.D.N.Y. 13—cv 7110(SLT)(RLM), but does not represent Mr. Alper in the matter of World Express & Connection, Inc. v. Crocus, et al., U.S.D.C. D.N.J. 15-8126 (KM)(MAH), which is where the deposition took place. Mr. Alper was represented at his deposition by separate counsel.

under oath that Mr. Nussbaum participated in – indeed masterminded – the creation of these fabrications.”)

B. The “Bill of Sale” is not relevant or material to this proceeding and Respondents’ position that it is a non-shipping document created by Complainants has not changed.

Mr. Nussbaum’s allegation concerning a “Bill of Sale” and whether Respondent Solovyev signed the Bill of Sale as a “General Manager” for MTL is also a non-starter for Mr. Nussbaum’s claims of fraud by Respondents or by counsel. First and foremost, the “Bill of Sale” was not a shipping document and the June 17, 2017 Initial Decision did not rely on or even refer to the Bill of Sale. (CX 018). Accordingly, neither the Bill of Sale nor Mr. Nussbaum’s allegations have any relevance to claims in this proceeding. In fact, the ALJ and the Commission already rejected Complainants arguments that Respondent Solovyev was a “General Manager” for Marine Transport Logistics, Inc. (“MTL”). *See*, March 6, 2017 Memorandum Opinion and Order, Doc. 44, at p. 13 (“Complainants argue that the new evidence will establish that Mr. Solovyev was ‘intimately involved’ with Marine Transport’s dealings and represented himself as its general manager ... even if those assertions are true, they do not establish that Mr. Solovyev acted as an unlicensed NVOCC as Complainants allege.”) It was never a question of whether Respondent Solovyev signed the Bill of Sale, because “even if Complainants’ assertions were true,” it would not create a valid Shipping Act claim.

Second, Respondents represented in this proceeding that the Bills of Sale were documents created by Complainants and that it was believed that Respondent Solovyev did not sign the Bill of Sale. Respondent Solovyev, in this regard, was not questioned by Complainants’ counsel at his deposition concerning the Bill of Sale which, again, demonstrates its irrelevance. But even accepting, *arguendo*, Mr. Alper’s testimony that he notarized the Bill of Sale, it does

not change Respondents' position that the Bill of Sale was a non-shipping document created by Complainants nor does it affect the Initial Decision or any claims in this proceeding.

C. Respondent Solovyev's position with Marine Transport Logistics, Inc. and with non-party World Express & Connection, Inc. is an issue that is being litigated in other forums.

Mr. Nussbaum next disputes the degree of involvement of Respondent Solovyev with Respondent MTL and Respondent Solovyev's title and position with non-party World Express & Connection, Inc. Once again, the non-relevance of these facts has already been determined by the ALJ and the Commission. *See*, March 6, 2017 Memorandum Opinion and Order, Doc. 44, at p. 13. With regard to MTL, Respondent Solovyev testified that he is not employed by MTL and that he did not own MTL. Mr. Nussbaum now points to the alleged testimony of non-party Mr. Alper to rebut Respondent Solovyev's testimony. But, Mr. Alper's testimony does not *prove* that Respondent Solovyev was employed by MTL or an owner of MTL. Mr. Alper may believe that "Solovyev is a principal of MTL" (as represented in the cross-motion), but this testimony will be weighed against testimony by Respondents, including testimony by the owner of MTL. Testimony from one witness does not prove that Respondents or Respondents' counsel committed a "fraud" in this proceeding. Mr. Nussbaum is simply picking and choosing which testimony is the "truth" and which is "false."

Moreover, Respondent Solovyev's title and role in World Express & Connection, Inc. – a non-party – is even further removed from relevance in this proceeding. Respondent Solovyev initially incorrectly represented himself to be the Owner and subsequently clarified that he was the President. Testimony by World Express & Connection's Owner in a separate action identified Respondent Solovyev as the Director of Operations. This question is still to be resolved in proceedings where World Express & Connection, Inc. is a party, though left unsaid

by Complainants is how Respondent Solovyev being the President or Director of Operations instead of the Owner, i.e., having a *lesser* role, in non-party World Express & Connection, Inc., is relevant or material to this proceeding. With respect to the present cross-motion, this argument is simply grasping at straws, and certainly does not rise to the level of relief sought by Mr. Nussbaum.

D. Mr. Nussbaum has failed to correct his many meritless filings.

Finally, it should not be lost that Mr. Nussbaum has failed to correct the many frivolous filings and misstatements by his clients in this proceeding. For example, Mr. Nussbaum cried to this Commission alleging that a reference number on a check was “fraudulently altered” to change the memo notation number from 83038 because, according to Mr. Nussbaum’s diligent lawyering, the number 83038 had “no connection to the Monterey Boat.” *See, Second Petition to Reopen Proceedings*, Doc. No. 50. Of course, as explained in Respondents’ Response, the memo notation number was not altered and “83038” was the correct reference number also present on the bill of lading; a document which Mr. Nussbaum and his clients had in their possession since the inception of this proceeding and Mr. Nussbaum and his clients *produced* it as an exhibit. Mr. Nussbaum, thus, could readily observe for himself that his allegation was false. Did Mr. Nussbaum withdraw his allegation? Of course not.

Nor has Mr. Nussbaum taken any steps to correct demonstrably false statements from his clients. For example, Complainants alleged, under oath, that none of the three boats in this

proceeding had been shipped to Dubai⁶ and Complainants affirmed, again under oath, that Respondent Solovyev made an offer to arrange for the shipment from Dubai to the U.S. of the two boats for \$1,500.⁷ These allegations, both made under oath and penalty of perjury, were confirmed to be false by the ALJ. But, because the Initial Decision and the non-existence of Complainants' Shipping Act claims were not materially affected by these falsehoods, Respondents and the undersigned did not see any reason to waste the Commission's time with accusations of "fraud upon the Commission" or in seeking sanctions against Complainants or their counsel. Unfortunately, Mr. Nussbaum now wants to impose a Commission suspension of practice whenever facts are disputed or later contradicted. It is respectfully submitted, at least with respect to the present cross-motion, that such a result is unwarranted here and that such sanctions should be reserved by the Commission only for counsel that repeatedly demonstrate an inability to conduct themselves in accordance with the Rules of the Commission and with the civility to be expected of counsel practicing before the Commission.

⁶ See, Complaint, Doc. No. 1, verified under oath by Complainant Safonov, at ¶¶ 13 ("Respondent Solovyev ... agreed to ship the two boats from MTL's storage facility in New Jersey to Dubai, UAE"); 20 ("In February 2014, when MTL has still not made any shipment of the boats ..."). Of course, during the course of this proceeding, Complainants were eventually unable to conceal the reality that the two boats *had* been shipped to Dubai, UAE and, in fact, **"On [the two boats'] way from New Jersey to Dubai at that point everything was fine still."** See, Oral Hearing Tr., Doc. No. 27, at p. 53:13 – 15. Obviously, the two sets of "facts" are irreconcilable and Complainants do have any legitimate excuse for such a fundamental misrepresentation of facts that obviously were within their knowledge from the outset.

⁷ See, Complainants' Response to Supplement the Record and Certification of Alexander Safonov, Doc. No. 23, at p. 4 ("My assistant found two companies that can deliver the boats for approximately \$4,000, but then he received a better offer for the same delivery from Alexander Solovyev for \$1,500.") Of course, this affirmation was proven to be false based on Complainants' own documents and confirmed by the ALJ. See, Initial Decision, Doc. No. 29, Finding of Facts nos. 62, 63, 64 ("APL charged a total of \$3,593.46 for the transportation.")

II. WHENEVER MR. NUSSBAUM IS UNABLE TO SUCCESSFULLY REPRESENT HIS CLIENTS BEFORE THE COMMISSION, MR. NUSSBAUM ALLEGES THE OPPOSING COUNSEL OF COMMITTING A FRAUD.

There is a clear pattern present in every one of Mr. Nussbaum's proceedings before this Commission: an adverse decision against Mr. Nussbaum's clients inevitably followed by accusations of "fraud" by his opposing counsel; now followed by an attempt by Mr. Nussbaum to have the Commission suspend his opposing counsel or for judicial discipline to follow.⁸ Including the present proceeding, such accusations of "fraud" by Mr. Nussbaum were made in four out of four (known to the undersigned) proceedings involving Mr. Nussbaum. This cannot be treated as a coincidence; the common element in all these proceedings is Mr. Nussbaum. Furthermore, Mr. Nussbaum's actions have not served to benefit Mr. Nussbaum's clients in any substantive or real manner, but are simply part of Mr. Nussbaum's practice to harass his adversaries, to delay proceedings, and to retaliate against opposing counsel. Mr. Nussbaum has now escalated his practice to include seeking to have the Commission suspend his opposing counsel and refer opposing counsel to the Bureau of Enforcement and/or to the U.S. Attorney General's Office.⁹ These and other accusations by Mr. Nussbaum against Respondents and counsel clearly are not motivated by good cause, good faith, or by "doing what is right."

⁸ See, Baltic Auto Shipping, Inc. v. Michael Hitrinov, FMC Docket No. 14-16; Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I); MAVL Capital, Inc. et al. v. MTL, FMC Docket No. 16-16.

⁹ In the matter of World Express & Connection, Inc. v. Crocus, et al., U.S.D.C. D.N.J. 15-8126 (KN)(MAH), Mr. Nussbaum similarly, requested that the Honorable Magistrate Judge Michael A. Hammer "refer" the undersigned counsel to the U.S. Attorney General's office upon Mr. Nussbaum's allegations of attorney "fraud." Magistrate Judge Hammer, a former U.S. Assistant U.S. Attorney, declined to do so and commented that in his experience he saw "nothing" in Mr. Nussbaum's allegations that would warrant the U.S. Attorney General's Office taking action.

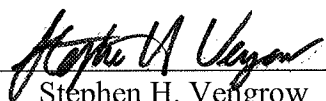
CONCLUSION

For the reasons given above, it is respectfully submitted that the Commission should deny Mr. Nussbaum's meritless cross-motion.

Dated: March 8, 2018

New York, NY

Respectfully submitted,
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CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On March 8, 2018, I served a complete copy of Respondent's RESPONSE TO MARCUS A. NUSSBAUM'S FRIVOLOUS CROSS-MOTION AND OUTLINE OF MARCUS A. NUSSBAUM'S HISTORY OF VEXATIOUS PRACTICE, in Docket No. 15-04 by E-mail and U.S. mail to:

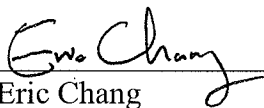
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Eric Chang

Dated: March 8, 2018
New York, New York